

standards. But standards should not be on process but on performance. Let us meet those requirements in our way. Don't tell us how to get there. You can tell us a car should have this much emission. How I reach that limit of emission you should leave to us. But don't dictate that the exhaust nozzle should be 1.5 cm in width," he adds.

Even as Banerjee talks, the West is mulling a carbon tax on exports from developing countries that do not take on commitments to cut their greenhouse gas emissions. There are no links with trade. Already, CII sources say, the New York Stock Exchange wants Indian companies listed with it to adhere to US environmental audits. Mitra sees emergence of aggressive labour issues as a response to India's rising manufacturing competitiveness. Unions in the US and EU now want competing developing countries to follow the same labour standards as them. That is ironical, says Mitra, coming from the US where labour standards are low because less than 10 per cent of their private workforce is now unionised.

Then there are NTBs spawned by the economic slowdown like the US making it mandatory for infrastructure projects to use steel produced domestically. Or the move to take away tax breaks for US companies outsourcing jobs to Indians. Says N.C. Mathur, advisor, Jindal Stainless Steel, "Now even the EU has launched a probe into the surge in India's exports of stainless steel products."

Premal Udani, chairman, Apparel Export Promotion Council—like others in the textile sector—is more worried about a new standard on use of chemicals, REACH (Registration, Evaluation, Authorisation and Restriction of Chemicals). According to Udani, it would require exporters to carry out registration, testing and certification of certain type of chemicals through elaborate process and production methods and high costs. "India is not geared for such testing at present. This may render the EU market inaccessible for electronic



**RAJAN MITTAL, President, FICCI**

**“Non-trade issues can't be linked with trade and investment. They should be addressed at proper forums.”**



**EU is particular about the language on the labels. I have to use different labels for all the 27 countries.”**



**RAKESH VAID, Chairman, Usha Fabs**



**HARSHPATI SINGHANIA, MD, JK Paper**

**“Countries like Germany insist on chlorine-free paper. Others want non-forest paper, obtained from plantation.”**



**If there are going to be more countries in the WTO, there would be more nations who will be part of NTBs.”**



**BIBEK DEBROY, Economist**



**SWATI PIRAMAL, Director, Piramal Healthcare**

**“EU is using patents as a trade weapon. Transit shipments are seized by Dutch authorities for alleged violation of patent rights.”**

and electrical equipment, automobiles, aerospace, cosmetics, textiles and paints,” says D.K. Nair, secretary general, Confederation of Indian Textile Industry.

The SME Export Promotion Council reveals how NTB measures are being invoked under the Bio Terrorism Act. To meet this condition, a company supplying foodstuff like beverages and dairy products has to give prior notification of all shipments. Even then there is no guarantee that a consignment will not be detained because neither the EU nor the US follows any international standardisation norms like Codex. Certificates as those by the Bureau of Indian Standards mandatory for 66 products related to health and consumer safety are not good enough for them.

There are, however, few options for industry. Either they bear the burden or lose out on a crucial market. Though India has made 45 notifications in the WTO from 1996 to 2007, and raised these issues at trade policy reviews with the EU and the US in 2009, all it has got from them are occasional statements to say how the reworking of Doha Agenda is taking time to deal with the issues.

Of the few solutions at this point for industry are partnership programmes like EuroGAP between the FICCI and EU. After Europeans complained of sediments of pesticides in grapes being exported from Nasik, the two parties initiated a process where 2,000 farmers were trained and EuroGAP certified. It soon opened floodgates for grape exports. The Ministry of Commerce, says Joint Secretary Amarendra Khatua, is making efforts to sign pacts on Mutual Recognition of Good Manufacturing Practices which will go a long way in alleviating some of the problems of the exporters.

The gains of cutting non-physical barriers to trade and improving the climate for investment across borders are huge. It will lift growth, generate jobs and strengthen regional integration. But India needs to train its systems to overcome barriers. ■